



THE BUTTERFLY EFFECT



RETAIL INFLOWS IN FY23 WERE THE LOWEST IN THE PAST THREE YEARS, TOUCHING ₹49,200 CRORE, COMPARED TO ₹1.65 LAKH CRORE IN FY22 AND ₹68,400 CRORE IN FY21



THE NUMBER OF RETAIL INVESTORS IN THE CASH SEGMENT OF NSE TOUCHED A RECORD 11.7 MILLION IN JANUARY 2022; A FALL OF NEARLY 4 MILLION BROUGHT THE NUMBER DOWN TO 8 MILLION IN MARCH 2023



THE SHARE OF RETAIL INVESTORS TAPERED SIGNIFICANTLY IN FY23 AS THEY REDUCED DIRECT PARTICIPATION IN INDIAN EQUITIES THROUGH SECONDARY MARKETS; THE NUMBER CONTRACTED 421 BASIS POINTS MONTH-ON-MONTH IN MARCH 2023 TO 36.5 PER CENT—THE LOWEST IN THE POST-PANDEMIC YEARS



INVESTOR REGISTRATIONS HAVE BEEN FALLING SINCE HITTING A PEAK IN NOVEMBER 2021; OVERALL REGISTRATIONS FOR FY22 WERE MORE THAN 19 MILLION, NEARLY 81 PER CENT HIGHER THAN THE PREVIOUS FISCAL. BUT IN FY23, NSE ADDED ONLY 13.3 MILLION NEW INVESTORS

ers opened accounts simply due to the incentives. As fast as they came, they have disappeared faster,” says Vijay Chandok, MD and CEO of ICICI Securities. “In the past 18-odd months, the equity market has been flattish, making it difficult to make earnings out of the markets, thereby leading to a sharp decline in investor interest, particularly [in the case of] those who came in during the Covid-19 period.”

Incidentally, the number of active retail investors in the cash segment (equities market) of NSE was around 3 million in January 2020, just before the lockdowns began. It surged to a peak of 11.7 million in January 2022, but since then, their numbers have fallen by nearly 4 million, to 8 million in March 2023.

There are a few key reasons for the consistent decline in unique client codes (UCCs) in the past 18 months. “The primary market has been extremely subdued and there is a lack of good quality IPOs... Small- and mid-cap indices—where the participation of retail investors is the highest—have remained sluggish for the past 18 months, and delivered practically zero returns during the period [since October 2021]. This sluggishness has resulted in the loss of investors’ interest and therefore, inactive UCCs,” says Jimeet Modi, Founder & Group CEO of SAMCO, that has a presence in the discount broking and mutual funds segments.

Not only that, even the benchmark Sensex touched a low of 46,160.46 in 2021, but rose swiftly to touch a then record high of 62,245.43 in 2021. The last calendar year (2022) also saw the Sensex trade in a broad range, between a high and low of 63,583.07 and 50,921.22, respectively. In the current year till May 12, the index is up less than two per cent from last year’s close of 60,841.

“In the past one and a half years, the markets have been volatile but there has been no net increase in Nifty 50 levels. Non-serious participants are not active anymore, and hence the declining trend,” says Yash Upadhyay, Chief Strategy Officer at 5Paisha Capital.

In a similar context, Gaurav Rastogi, Founder of Kuvera, an online wealth management platform, says that the final stages of a bull market typically see many new traders entering the markets to make a quick buck, driven by the good returns. “These are usually day traders and not long-term investors. When the returns don’t materialise, as has happened in the past two years, they leave. What we have seen in the past three years is the same cycle play out in India.”

It is quite clear that the deluge of retail investors, who swamped the stock markets between early-2020 and mid-2022, are abandoning the equity ship in equally large numbers. But the larger question that remains is, if not equities, then where is the retail money sailing?

THE MONEY TRAIL

It is not that retail investors are keeping cash in their bank accounts or at their homes. Therefore, retail money is certainly being invested somewhere. The past few years have seen a significant rise in interest rates, and coupled with the heightened volatility in the equities markets, market watchers say that retail investors are moving their money from stocks to bank deposits (fixed deposits, recurring deposits, etc.), debt instruments and even pre-paying their loans.